

SK Hynix (000660 KP)

Buy: Full-fledged shareholder returns just kicked off

- ◆ KRW40trn buyback and cancellation give prudent guideline for shareholder returns plan
- ◆ Sequential earnings growth intact in 3Q26e from higher ASP from HBM price hike and SO-CAMM2 premium
- ◆ Preferred pick; maintain Buy rating and KRW3.7m TP

Beginning of full-fledged shareholder return. We reiterate our positive view on SK Hynix as a preferred pick among Korea tech names. We see it becoming more attractive not only on stronger ASP increases in 2H26e but also on the more proactive shareholder return policy it is initiating. The company announced share buyback and cancellation of cKRW40trn (3.3% of total common shares issued) over the next three months, and highlighted several positive plans: 1) it will return at least 50% of its FCF generated during 2025-27 (formerly "within 50% of FCF"), 2) it is considering additional measures to enhance dividends above already promised cash dividends, and 3) it has already announced potential capital reduction dividend of around KRW4trn until March 2027. SK Hynix mentioned the share price is trading far below its intrinsic value and that further shareholder return details will be announced at the 3Q26 earnings release, adding that it prefers share buybacks to cash dividends as a return method. Treasury share purchases for employee bonuses will be completely separate from this programme. We view this as a positive step toward more shareholder-friendly policy following the ADR listing. Based on guidance, we assume total FCF of KRW401trn during 2025-27e, of which at least KRW200trn (50% of FCF) will be returned to shareholders (KRW37trn in cash dividends, KRW163trn in buybacks and cancellations). Moreover, management likes to express its strong confidence that the AI upcycle will persist through enhanced shareholder returns.

Positive 3Q outlook with higher ASP intact: We forecast 3Q OP up 30% q-o-q to KRW79trn (+591% y-o-y) on sales of KRW101trn (+312% y-o-y), driven by DRAM/NAND price rises (20%/13% q-o-q) and 11% q-o-q DRAM shipment growth. We expect blended ASP growth to outpace the broader market. Key catalysts: HBM price hikes and incremental upside from HBM4; stronger SO-CAMM2 demand tied to ARM-based CPUs; and more 3–5 year LTAs improving visibility.

AI-driven supercycle; HBM pricing upside ahead: We view the current memory upcycle as akin to the 1990–95 PC-led supercycle. Agentic AI should lift productivity while improving AI service margins support resilient cloud capex. CSP competition suggests capacity expansion won't slow materially. The HBM4 transition should accelerate HBM price gains versus commodity DRAM and rebuild premiums.

Preferred memory pick; Buy, TP KRW3.7m: We reiterate Buy, with a better shareholder return event announced on top of outperformance of memory business in 2He and 2027e. We apply our unchanged target PB of 3.4x (historical high during 2009-11 with a 20% premium) to our 2027/28e BVPS to reach our KRW3.7m TP, implying c147% upside. Even at our TP, PE would only be 8x 2027/28e average EPS.

Equities Semiconductors & Equipment

Korea


MAINTAIN BUY
TARGET PRICE (KRW)
3,700,000
PREVIOUS TARGET (KRW)
3,700,000
SHARE PRICE (KRW)
1,500,000
(as of 19 Aug 2026)
UPSIDE/DOWNSIDE
+146.7%

MARKET DATA

Market cap (KRWb)	1,095,739	Free float	67%
Market cap (USDm)	775,546	BBG	000660 KP
3m ADTV (USDm)	7,997	RIC	000660.KS

FINANCIALS AND RATIOS (KRW)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	62330.20	333704.02	461160.91	493890.41
HSBC EPS (prev)	62330.20	333704.02	461160.91	493890.41
Change (%)	0.0	0.0	0.0	0.0
Consensus EPS	56031.11	352688.44	461312.41	489194.22
PE (x)	24.1	4.5	3.3	3.0
Dividend yield (%)	0.2	1.3	1.9	2.0
EV/EBITDA (x)	17.7	3.3	1.6	1.0
ROE (%)	44.2	98.1	63.6	41.9

52-WEEK PRICE (KRW)



Source: LSEG IBES, HSBC estimates

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This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

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Financials & valuation: SK Hynix

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (KRWb)				
Revenue	97,147	343,916	539,845	646,220
EBITDA	61,136	287,469	457,322	496,737
Depreciation & amortisation	-13,930	-23,631	-30,697	-39,993
Operating profit/EBIT	47,206	263,839	426,625	456,744
Net interest	-429	1,217	2,170	2,828
PBT	50,466	306,580	423,677	453,746
HSBC PBT	50,466	306,580	423,677	453,746
Taxation	-7,518	-76,645	-105,919	-113,436
Net profit	42,948	229,935	317,758	340,309
HSBC net profit	42,948	229,935	317,758	340,309
Cash flow summary (KRWb)				
Cash flow from operations	53,373	209,588	305,245	345,350
Capex	-27,374	-60,000	-80,000	-90,000
Cash flow from investment	-48,054	-61,964	-82,110	-92,267
Dividends	-1,519	-2,132	-14,577	-20,408
Change in net debt	-21,476	-144,062	-207,171	-231,295
FCF equity	25,999	149,588	225,245	255,350
Balance sheet summary (KRWb)				
Intangible fixed assets	4,049	4,283	4,565	4,895
Tangible fixed assets	77,503	114,586	164,649	215,473
Current assets	69,458	251,504	500,860	770,026
Cash & others	35,255	173,600	377,998	607,021
Total assets	176,108	396,938	698,200	1,020,181
Operating liabilities	33,193	32,089	32,945	37,297
Gross debt	22,248	16,530	13,757	11,484
Net debt	-13,007	-157,070	-364,241	-595,536
Shareholders' funds	120,516	348,168	651,348	971,249
Invested capital	82,562	164,684	259,131	346,076

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	46.8	254.0	57.0	19.7
EBITDA	69.6	370.2	59.1	8.6
Operating profit	101.2	458.9	61.7	7.1
PBT	111.3	507.5	38.2	7.1
HSBC EPS	116.9	435.4	38.2	7.1
Ratios (%)				
Revenue/IC (x)	1.3	2.8	2.5	2.1
ROIC	53.0	160.1	151.0	113.2
ROE	44.2	98.1	63.6	41.9
ROA	29.0	80.3	58.0	39.6
EBITDA margin	62.9	83.6	84.7	76.9
Operating profit margin	48.6	76.7	79.0	70.7
EBITDA/net interest (x)	142.4			
Net debt/equity	-10.8	-45.1	-55.9	-61.3
Net debt/EBITDA (x)	-0.2	-0.5	-0.8	-1.2
CF from operations/net debt				
Per share data (KRW)				
EPS Rep (diluted)	62330.20	333704.02	461160.91	493890.41
HSBC EPS (diluted)	62330.20	333704.02	461160.91	493890.41
DPS	3000.00	20000.00	28000.00	30000.00
Book value	169592.12	477685.11	893647.44	1332550.88

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	11.1	2.7	1.4	0.8
EV/EBITDA	17.7	3.3	1.6	1.0
EV/IC	13.1	5.7	2.8	1.4
PE*	24.1	4.5	3.3	3.0
PB	8.8	3.1	1.7	1.1
FCF yield (%)	2.4	13.7	20.6	23.3
Dividend yield (%)	0.2	1.3	1.9	2.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a	Governance Indicators	12/2026e
GHG emission intensity*	156.1	No. of board members	9
Energy intensity*	612.0	Average board tenure (years)	n/a
CO ₂ reduction policy	Yes	Female board members (%)	22.2
Social Indicators		Board members independence (%)	55.6
12/2024a			
Employee costs as % of revenues	2.3		
Employee turnover (%)	1.3		
Diversity policy	Yes		

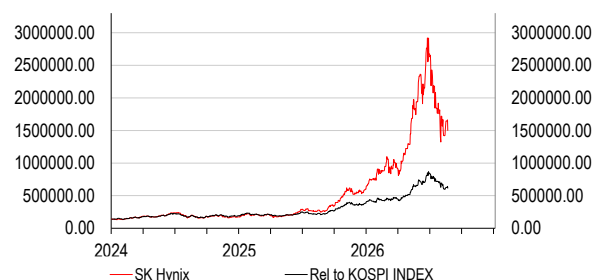
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (KRW)	1500000.00	Free float	67%
Target price (KRW)	3700000.00	Sector	Semiconductors
RIC (Equity)	000660.KS	Country/Region	Korea
Bloomberg (Equity)	000660.KP	Analyst	Ricky Seo
Market cap (USDm)	775,546	Contact	+82 2 3706 8777

Price relative



Source: HSBC

Note: Priced at close of 19 Aug 2026

Exhibit 1. Details of share buy back and cancellation plan announced August 19

Items	Details
Type and number of shares to be cancelled	24.07 million common shares (3.3% of shares outstanding)
Planned cancellation amount	cKRW40trn
Planned period for acquiring shares for cancellation	20 Aug 2026 – 19 Nov 2026
Others	Shares are planned to be acquired within the limit of distributable profits.

Source: Company data

Exhibit 2. Shareholder return policy in detail for 2025-2027e

Items	Details
Policy period	2025–2027e
Return commitment	Return at least 50% of FCF generated during the policy period (2025–2027e)
Return methods	Use a combination of share buybacks/cancellations and cash dividends
Additional shareholder returns in review	Reviewing dividend increases (including fixed and special dividends)
Next update	Details on additional returns to be shared at the 3Q26 earnings announcement.

Source: Company data

Exhibit 3. Hynix FCF and estimated Shareholder return

Hynix dividends and FCF (KRWtrn)	2024	2025	2026e	2027e	2028e	2025-27e Accumulated
FCF	14	26	150	225	255	401
50% of FCF	7	13	75	113	128	200
Dividends paid	2	2	15	20	22	37
Payout ratio	8%	5%	6%	6%	6%	6%
Share buyback and cancellation	0	12	60	91	106	163
% of FCF	11%	55%	50%	49%	50%	50%

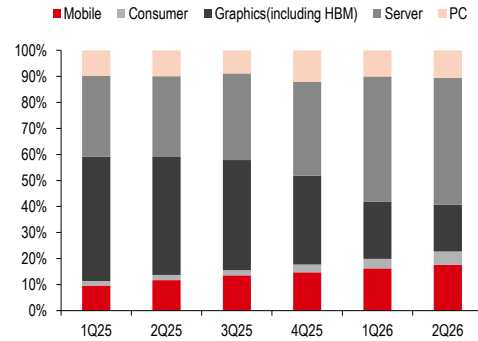
Source: Company data, HSBC estimates

Exhibit 4. Changes to our forecasts

(KRWbn)	New			Old			Change		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Revenue	343,916	539,845	646,220	343,916	539,845	646,220	0%	0%	0%
DRAM	259,907	416,806	511,461	259,907	416,806	511,461	0%	0%	0%
NAND	84,009	123,039	134,759	84,009	123,039	134,759	0%	0%	0%
OP	263,839	426,625	456,744	263,839	426,625	456,744	0%	0%	0%
DRAM	209,762	343,204	382,661	209,762	343,204	382,661	0%	0%	0%
NAND	54,118	83,460	74,123	54,118	83,460	74,123	0%	0%	0%
OPM	77%	79%	71%	77%	79%	71%	0%pt	0%pt	0%pt
DRAM	81%	82%	75%	81%	82%	75%	0%pt	0%pt	0%pt
NAND	64%	68%	55%	64%	68%	55%	0%pt	0%pt	0%pt

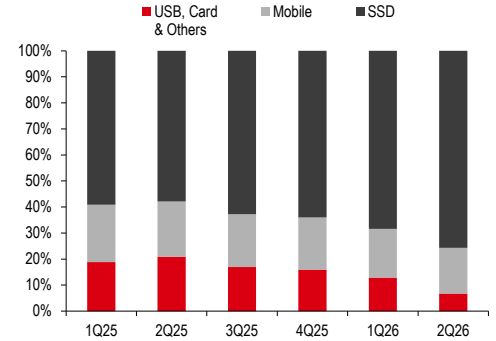
Source: HSBC estimates

Exhibit 5. DRAM sales by application; Server DRAM portion rising



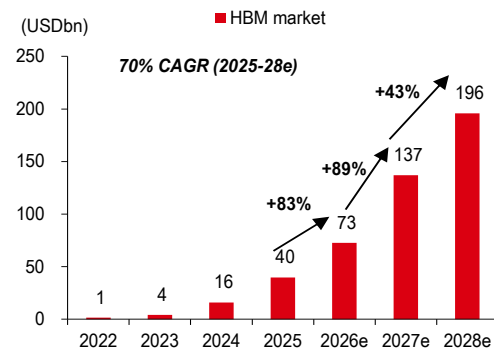
Source: Company data

Exhibit 6. NAND sales by application; SSD portion rising rapidly



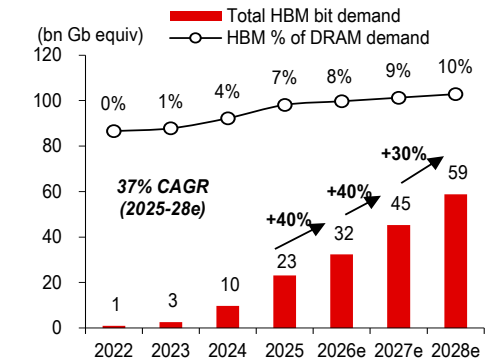
Source: Company data

Exhibit 7. We expect the HBM market to grow at a CAGR of 70% during 25-28e reaching USD196bn



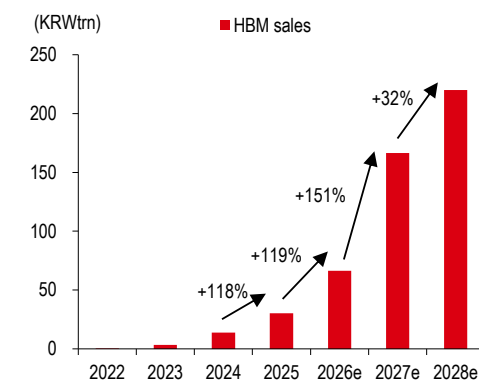
Source: WSTS, TrendForce, Company data, HSBC estimates

Exhibit 8. While total bit demand should also grow at a CAGR of 37% during the same period



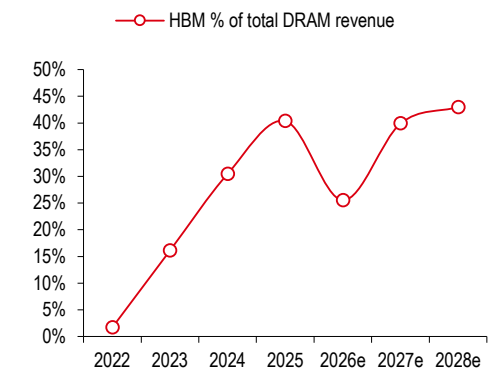
Source: WSTS, TrendForce, Company data, HSBC estimates

Exhibit 9. HBM sales should continue show strong growth amid higher pricing and premium HBM4...



Source: Company data, HSBC estimates.

Exhibit 10. ...while the total portion of DRAM revenue at Hynix should start rising from 2027e again

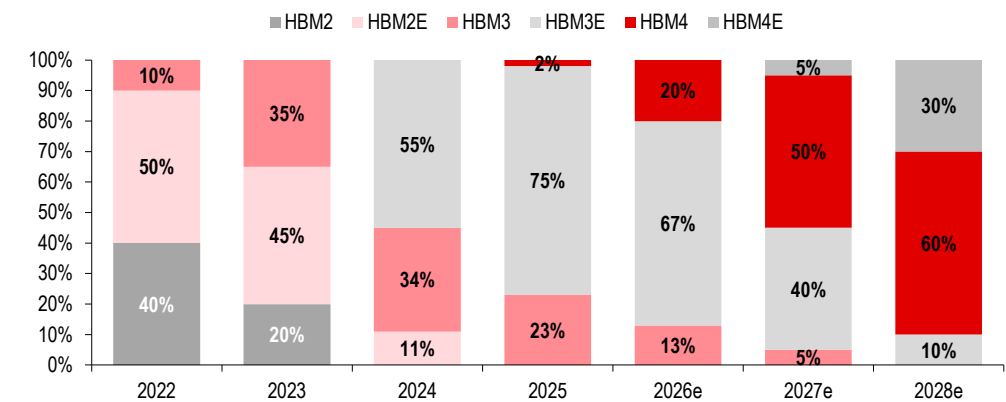


Source: Company data, HSBC estimates. Note: HBM sales portion calculated as a percentage of total DRAM sales.

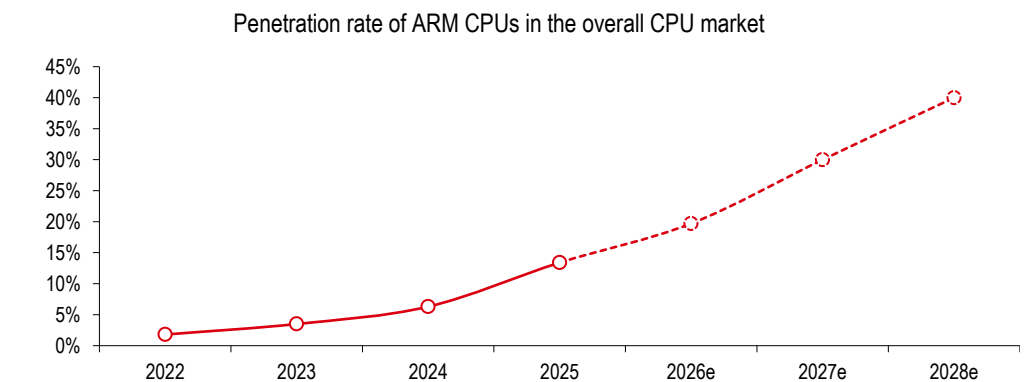
Exhibit 11. Our HBM market estimates

HBM estimates	2023	2024	2025	2026e	2027e	2028e
HBM bit shipment (bn Gb)	3	10	23	32	45	59
y-o-y%		268%	139%	40%	40%	30%
% of total DRAM demand	1%	4%	7%	8%	9%	10%
HBM blended ASP (USD per Gb)	1.6	1.6	1.7	2.2	3.0	3.3
y-o-y%		5%	5%	30%	35%	10%
HBM market (USDbn)	4	16	40	73	137	196
y-o-y%		286%	151%	83%	89%	43%
% of DRAM market	8%	16%	26%	12%	14%	17%

Source: WSTS, TrendForce, Company data, HSBC estimates

Exhibit 12. HBM shipment by generation, premium HBM4 portion to rise during 2026-28e


Source: TrendForce, Yole, HSBC estimates

Exhibit 13. Forecast penetration rate of ARM based CPUs in the total CPU market


Source: TrendForce, HSBC estimates

Exhibit 14. SO-CAMM2 demand estimates from the Vera Rubin platform; 6-13% of total DRAM demand

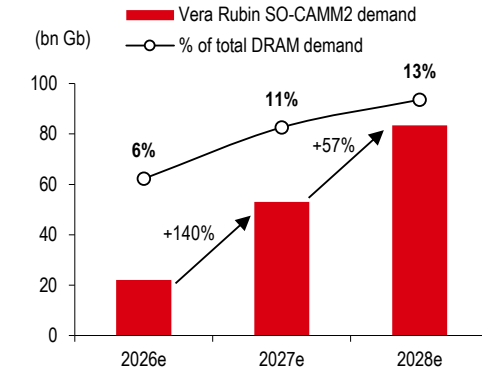


Exhibit 15. NAND demand estimates from the Vera Rubin platform; 4-14% of total NAND, opportunities from ICMS

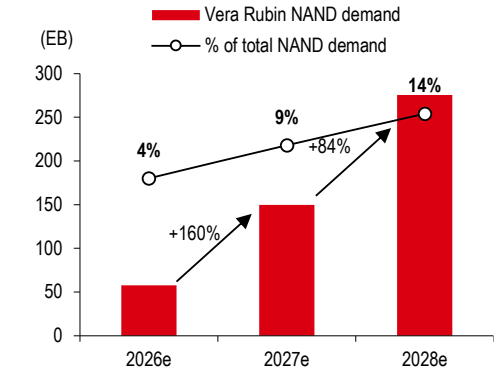


Exhibit 16. Server DRAM vs HBM blended ASP trend (calendar year base)

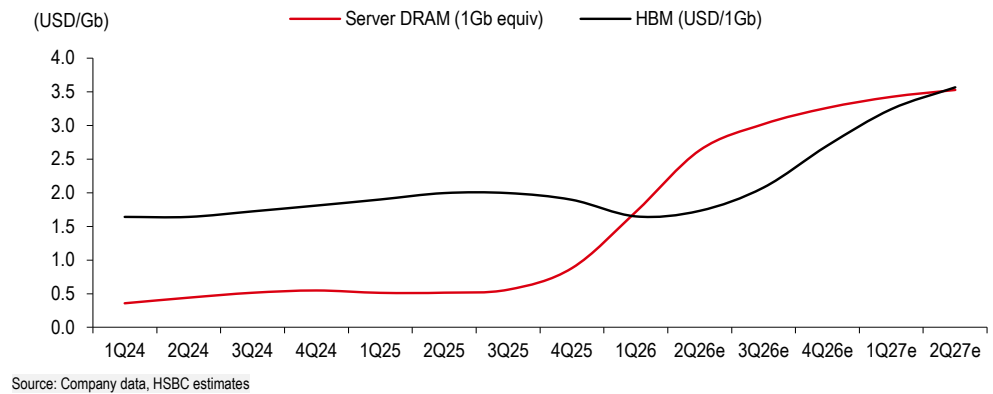


Exhibit 17. Server DRAM prices should continue rising amid strong demand for AI and general servers

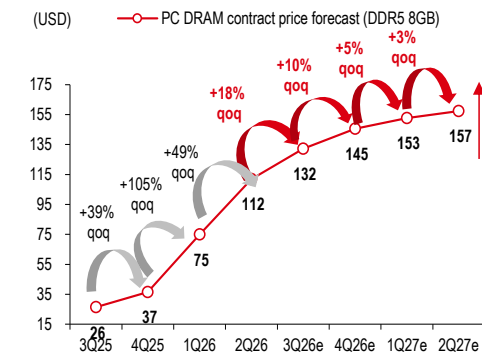


Exhibit 18. While NAND Flash wafer prices continue rising thanks to eSSD demand

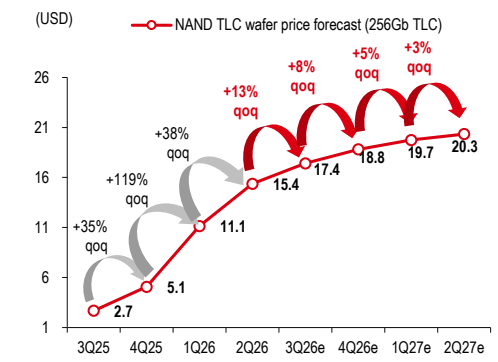
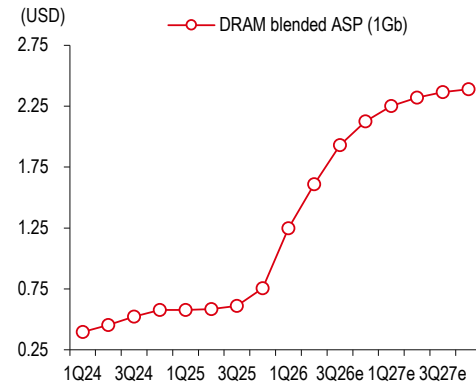
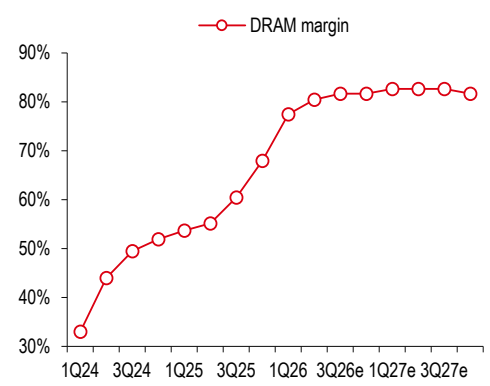


Exhibit 19. We continue to see strong DRAM pricing trend for Hynix during 2026e



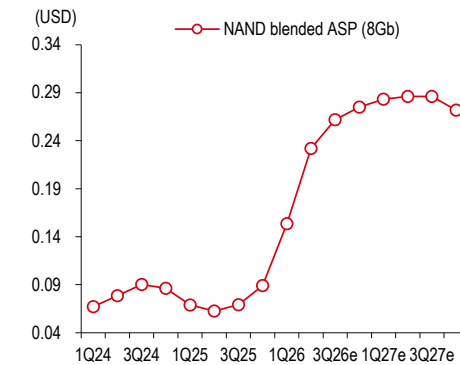
Source: Company data, HSBC estimates

Exhibit 20. Leading to strong margins to continue through 2026/27e



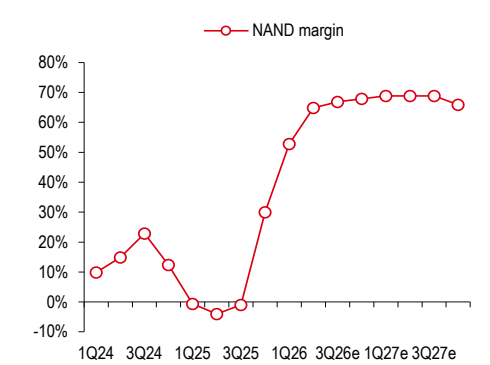
Source: Company data, HSBC estimates

Exhibit 21. Hynix's NAND price should continue to be strong in 2026e



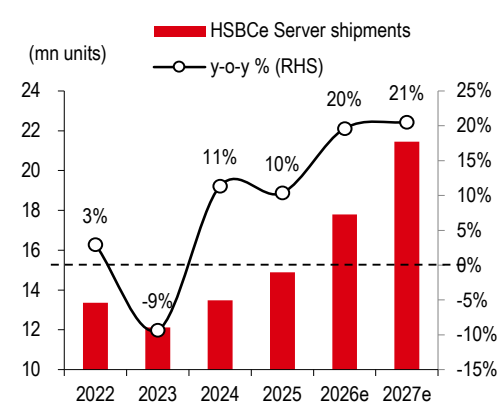
Source: Company data, HSBC estimates

Exhibit 22. ...leading to better margins in 2026e for Hynix



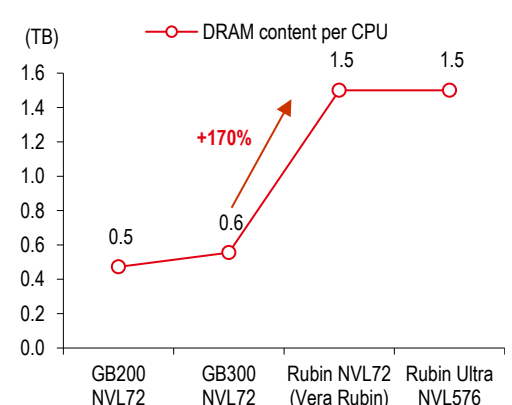
Source: Company data, HSBC estimates

Exhibit 23. We expect global server shipments to rise 20%/21% in 2026/27e



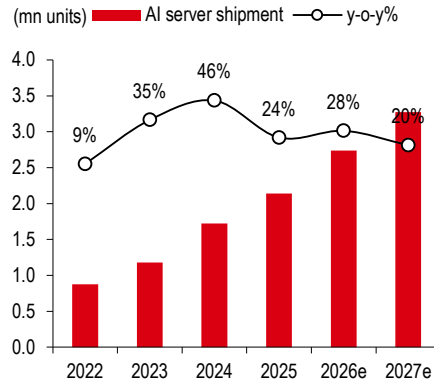
Source: TrendForce, HSBC estimates

Exhibit 24. Accelerating DRAM content growth in the latest Vera Rubin servers



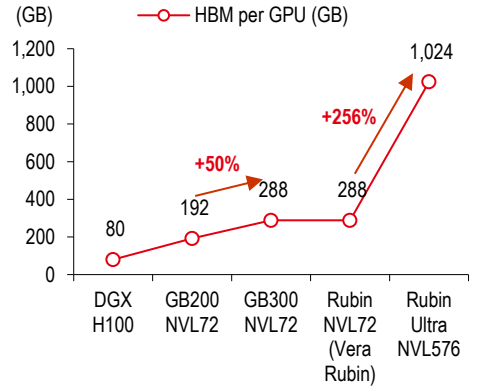
Source: Company data, HSBC estimates

Exhibit 25. AI server shipments to grow 28% y-o-y in 2026e



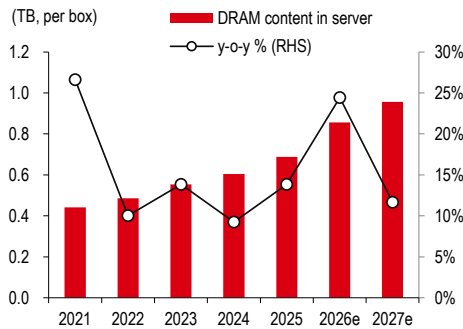
Source: TrendForce

Exhibit 26. HBM content to increase significantly in the Rubin Ultra



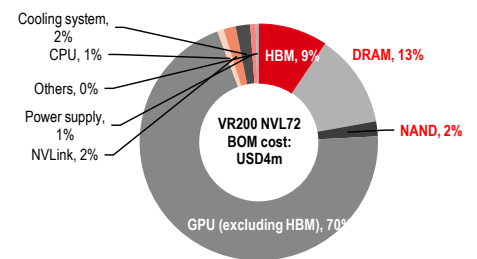
Source: Company data, HSBC estimates

Exhibit 27. Average server DRAM content per unit; strong growth of 24% in 2026



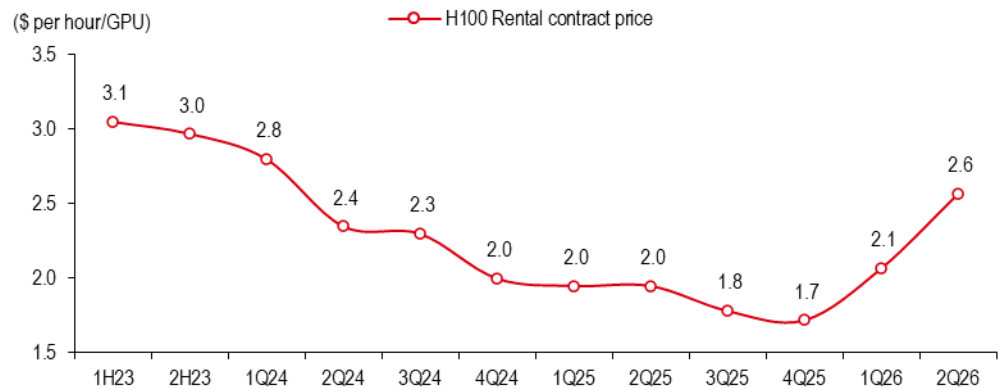
Source: DRAMeXchange, HSBC estimates

Exhibit 28. Bill of materials cost estimates for the VR200 NVL72 server system



Source: HSBC estimates

Exhibit 29. One-year contract price trend of AI GPUs (H100) for AI service providers



Source: Semianalysis, HSBC

Exhibit 30. US cloud service provider (CSP) capex; robust growth to continue at key US CSPs, up 81% in 2026e

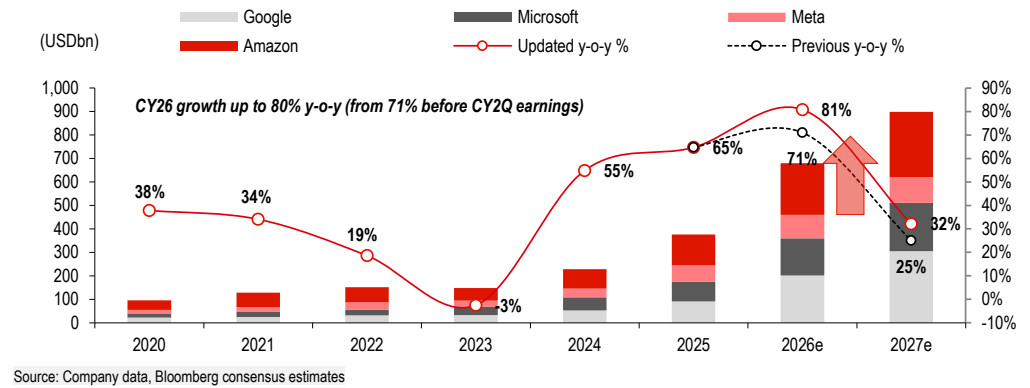


Exhibit 31. Capex portion of operating cash flow at the top 4 US CSPs

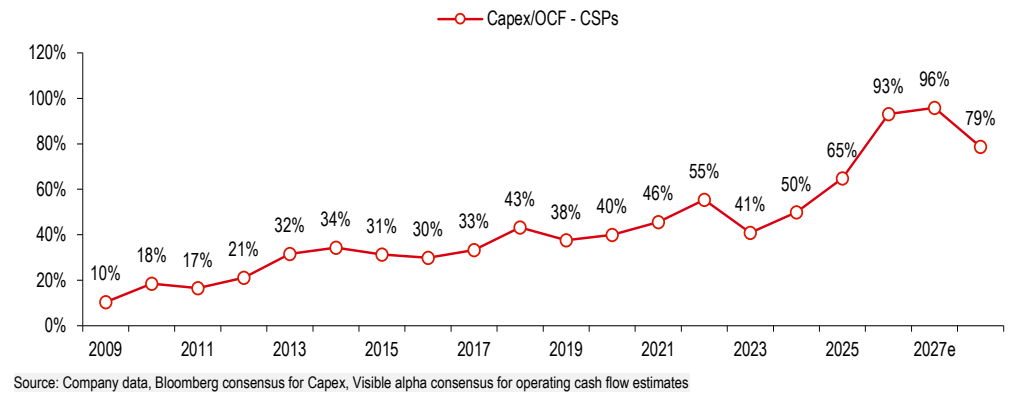


Exhibit 32. Capex consensus of key global CSPs (US & Chinese) for 2026; continued upside revisions; expected at USD798bn (+96% y-o-y)

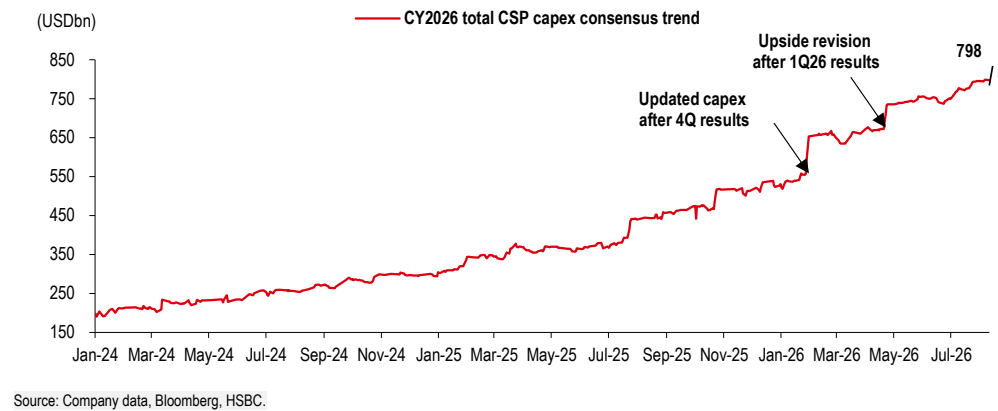
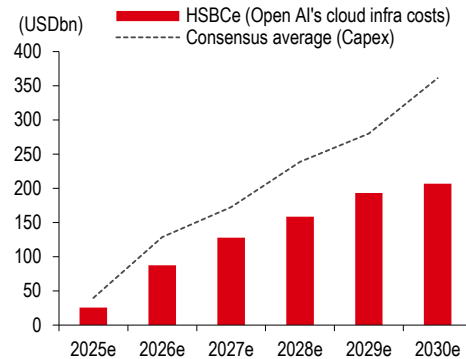
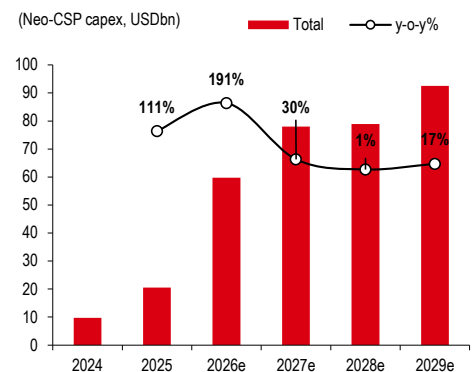


Exhibit 33. Open AI's cloud infra costs continue to grow



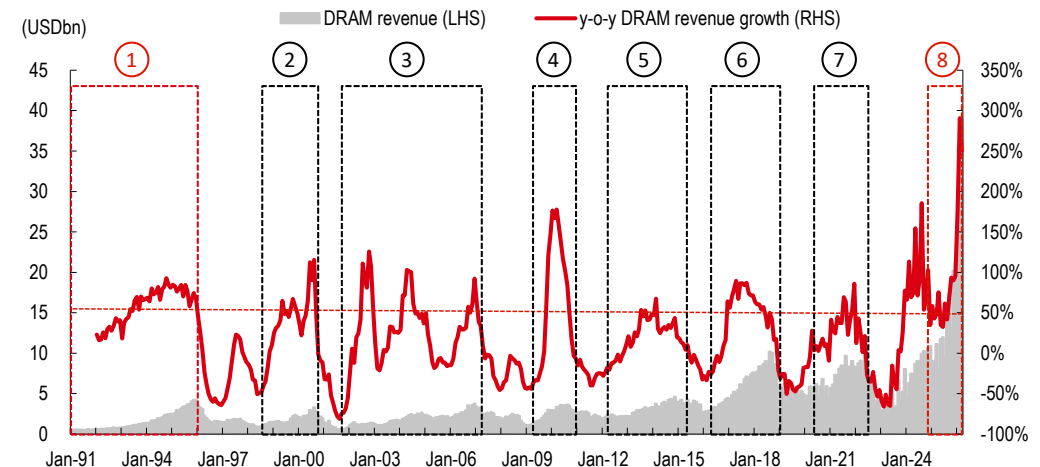
Source: HSBC estimates (see: [Global tech – Open AI: Commitments vs cash flows revisited](#), 24 Nov 2025, by Nicolas Cote-Colisson), Bloomberg consensus estimates

Exhibit 34. Capex estimates of key neo-CSPs; strong growth in 2026e



Source: Company data, Bloomberg consensus estimates

Exhibit 35. Historical upcycles of the DRAM market by key events



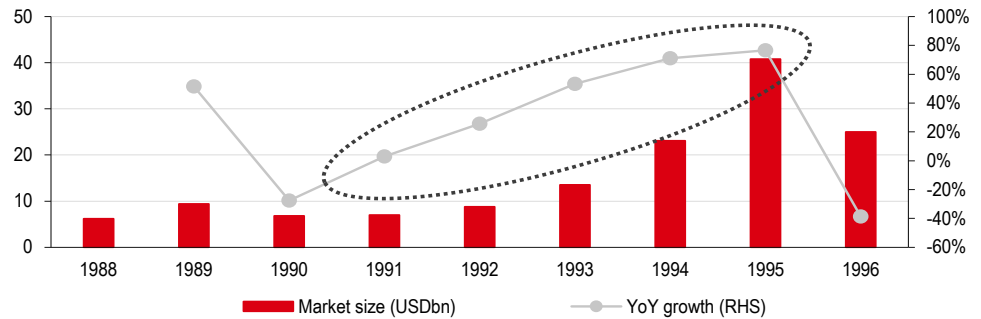
Source: WSTS, HSBC

Exhibit 36. Details of historical upcycles of the DRAM market, by key events

Upcycles	Details
(1) 1990-1995	Personal computer (PC) boom, widespread adoption of PC by households, leading to growth in DRAM demand
(2) 1998-2000	Strong replacement demand from the 'Y2K' crisis, leading to even stronger PC replacement investment
(3) 2002-2006	Demand for downloadable services spiked with the help of slim notebook demand from LCD, release of iPod, and development of legacy cell phones
(4) 2009-2010	Launch of the world's first smartphone, and start of a new era in mobile application demand
(5) 2012-2015	Prolonged upcycle due to sudden supply reduction from major fire incident in SK Hynix's China facilities
(6) 2016-2018	Widespread adoption of streaming services, leading to accelerated investment in cloud infrastructure and digital transition
(7) 2020-2022	Unprecedented demand boom from 'WFH' trend causing more demand for PC, Chromebooks, and Tablet computers amid the global pandemic
(8) 1H24-current	Gen AI application demand growth, core of AI is moving from training (GPU) to inferencing (memory)

Source: HSBC

Exhibit 37. DRAM super cycle (1990-95) as the introduction of Windows 3.0 boosted the DRAM market 6x to USD41bn in 1995 from USD7bn in 1990



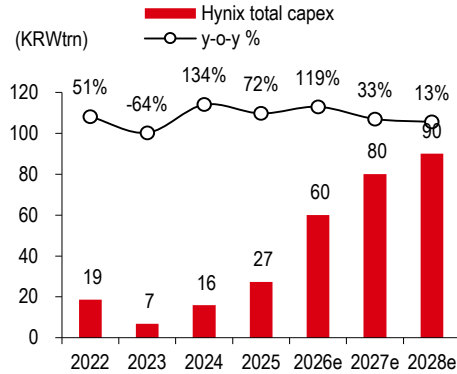
Source: WSTS, SIA, HSBC

Exhibit 38. Quarterly earnings and key assumptions

	1Q26	2Q26	3Q26e	4Q26e	1Q27e	2Q27e	3Q27e	4Q27e	2025	2026e	2027e	2028e
Sales (KRWbn)	52,580	79,321	100,800	111,215	117,307	126,390	140,744	155,405	97,150	343,916	539,845	646,220
Growth (%) q-o-q, y-o-y	60	51	27	10	5	8	11	10	47	254	57	20
DRAM	40,752	58,483	76,748	83,924	89,193	96,478	108,716	122,419	74,909	259,907	416,806	511,461
NAND Flash & others	11,828	20,838	24,053	27,290	28,114	29,912	32,028	32,985	22,241	84,009	123,039	134,759
Sales breakdown (%)												
DRAM	78	74	76	75	76	76	77	79	77	76	77	79
NAND Flash & others	22	26	24	25	24	24	23	21	23	24	23	21
OP (KRWbn)	37,610	60,541	78,696	86,992	92,984	100,243	111,813	121,585	47,202	263,839	426,625	456,744
Growth (%) q-o-q, y-o-y	96	61	30	11	7	8	12	9	101	459	62	7
DRAM	31,557	47,040	62,653	68,512	73,705	79,725	89,838	99,937	45,283	209,762	343,204	382,661
NAND Flash	6,083	13,503	16,048	18,485	19,290	20,528	21,985	21,658	1,998	54,118	83,460	74,123
OPM (%)	72	76	78	78	79	79	79	78	49	77	79	71
DRAM	77	80	82	82	83	83	83	82	60	81	82	75
NAND Flash	53	65	67	68	69	69	69	66	9	64	68	55
EBITDA	41,339	64,571	85,622	95,937	99,655	107,429	119,816	130,422	61,136	287,469	457,322	496,737
Depreciation & amortization	3,729	4,030	6,926	8,946	6,670	7,187	8,003	8,837	13,930	23,631	30,697	39,993
EBITDA margin (%)	79	81	85	86	85	85	85	84	63	84	85	77
Key assumptions												
DRAM shipment (m units, 1Gb)	23,008	24,802	27,413	28,224	28,298	30,148	33,307	37,133	83,105	103,447	128,887	163,096
Growth q-o-q, y-o-y	0	8	11	3	0	7	10	11	23	24	25	27
Blended DRAM ASP (USD, 1Gb)	1.2	1.6	1.9	2.1	2.3	2.3	2.4	2.4	0.6	1.8	2.3	2.3
Growth q-o-q, y-o-y	65	29	20	10	6	3	2	1	29	175	33	(3)
NAND shipment (m units, 8Gb)	52,876	61,278	63,189	70,736	70,627	75,495	80,852	87,660	200,023	248,080	314,634	412,582
Growth q-o-q, y-o-y	(11)	16	3	12	(0)	7	7	8	13	24	27	31
Blended NAND ASP (USD, 8Gb)	0.15	0.23	0.26	0.28	0.28	0.29	0.29	0.27	0.1	0.2	0.3	0.2
Growth q-o-q, y-o-y	73	51	13	5	3	1	0	(5)	(8)	222	20	(16)

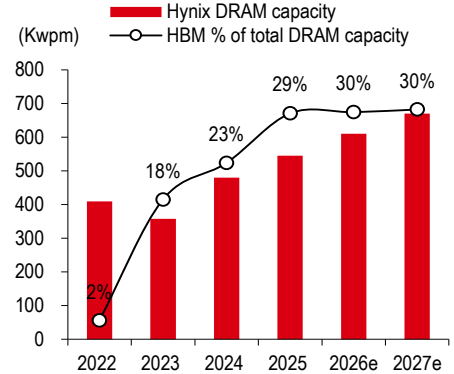
Note: TTB = Turn-to-black (Turn to profit). Source: Company data, HSBC estimates

Exhibit 39. We expect strong capex growth at Hynix, up 119% y-o-y in 2026e



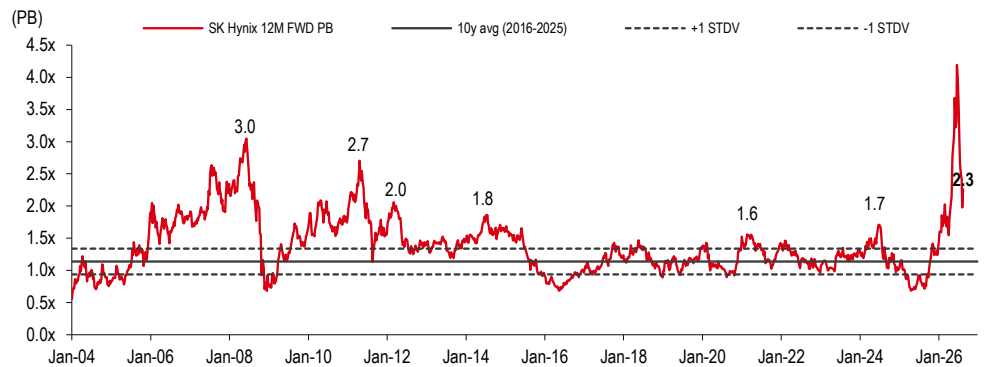
Source: Company data, HSBC estimates

Exhibit 40. Hynix plans to continue to expand its HBM capacity, reaching 200k by end-2027e



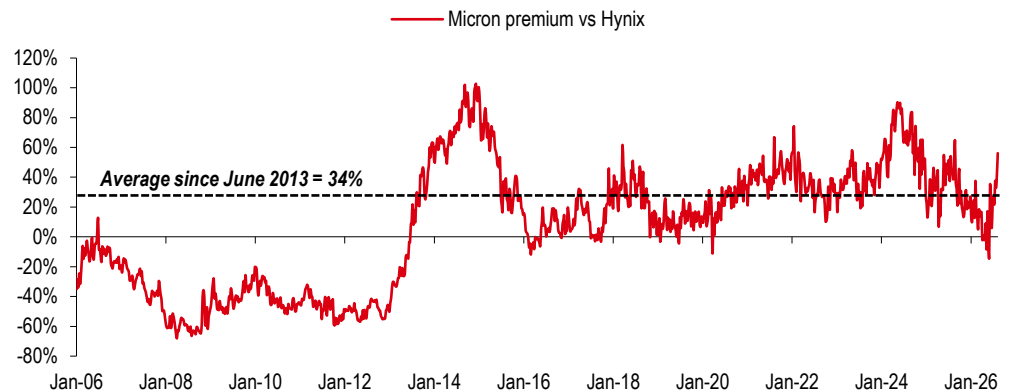
Source: Company data, HSBC estimates

Exhibit 41. SK Hynix: 12-month forward P/B



Source: Bloomberg, HSBC estimates

Exhibit 42. Hynix has been trading at a 34% discount vs Micron



Source: Bloomberg, HSBC estimates for 2026e forward PB.

Exhibit 43. Historical P/B multiple, DRAM OPM and ROE trend

PB(x)	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	Ref. avg (+20%)
High	2.8	2.5	2.1	2.8	2.2	2.0	2.1	1.7	1.4	1.9	1.4	1.4	1.6	1.7	1.5	1.9	2.3	3.8	-	-	3.4
Avg	1.9	1.7	1.7	1.9	1.8	1.6	1.6	1.3	1.0	1.3	1.1	1.1	1.2	1.4	1.1	1.4	1.7	1.8	-	-	2.3
Low	0.5	0.7	1.5	1.2	1.4	1.3	1.4	1.0	0.8	1.0	0.9	0.8	0.9	1.0	0.8	0.9	1.2	1.0	-	-	1.1
DRAM OPM	-34%	5%	31%	-4%	-1%	29%	40%	38%	27%	55%	62%	29%	28%	40%	33%	1%	46%	60%	81%	82%	
ROE	-93%	-6%	33%	-1%	-2%	25%	27%	22%	13%	37%	39%	4%	10%	17%	4%	-16%	31%	44%	98%	64%	

Note: Reference period: Historical high average during upcycle of 2009-12, with a 20% premium applied reflecting Hynix's leadership in HBM. The 2009-12 period is similar to today's supply disciplined and new technology such as the mass adoption of the smartphone being similar to the wide-spread adoption of AI in our daily lives. Source: Company data, HSBC estimates

Exhibit 44. Valuation comparison vs Global peers

Category	Ticker	CCY	Rating	TP	Price	Mkt cap (USDbn)	26e PE	27e PE	26e EPSG	27e EPSG	26e PB	27e PB	26e ROE	27e ROE
Memory														
SK Hynix	000660 KP	KRW	Buy	3,700,000	1,500,000	776	4.5	3.3	435%	38%	3.1	1.7	98%	64%
Samsung Elec	005930 KP	KRW	Buy	450,000	247,500	1,024	5.8	4.2	455%	36%	2.3	1.6	55%	51%
Micron	MU US	USD	Buy	1,700	941	1,062	12.8	5.7	870%	123%	8.0	3.5	89%	85%
CXMT Corp	688825 CH	CNY	NR		57.55	571	24.2	14.2	NA	71%	13.9	7.3	62%	53%
Sandisk	SNDK US	USD	NR		1,625.78	238	6.3	8.0	22%	-21%	3.7	2.0	46%	30%
Kioia Holdings	285A JP	JPY	NR		49,950	173	4.9	3.8	898%	29%	4.3	2.2	139%	83%
Nanya Tech	2408 TT	TWD	NR		481	52	7.5	4.7	2919%	58%	4.1	2.3	72%	61%
Average							9.4	6.3	933%	48%	5.6	2.9	80%	61%
Foundry														
TSMC	2330 TT	TWD	Buy	3,400	2,350	1,908	21.8	17.1	63%	28%	7.9	5.7	43%	39%
Intel	INTC US	USD	Buy	200.00	96.68	511	65.7	38.7	245%	70%	3.9	3.5	6%	10%
SMIC	981 HK	HKD	Buy	106.00	73.00	88	44.1	32.3	142%	37%	3.2	2.9	8%	9%
UMC	2303 TT	TWD	Buy	212.00	115.50	45	15.2	13.6	127%	12%	4.5	2.9	27%	26%
Global foundries	GFS US	USD	Hold	55.00	49.90	27	25.3	19.2	14%	31%	2.4	2.3	10%	12%
Average							34.4	24.2	118%	35%	4.4	3.4	19%	19%
Other semi														
ST Micro	STMPA FP	EUR	Buy	81.00	45.31	48	36.8	18.6	171%	97%	2.7	2.4	7%	14%
Infineon	IFX GY	EUR	Buy	108.00	57.24	87	32.3	19.7	27%	64%	4.0	3.5	13%	19%
Texas instruments	TXN US	USD	NR		272.24	249	32.6	26.9	41%	21%	13.1	11.0	42%	44%
Average							33.9	21.7	80%	61%	6.6	5.6	21%	25%
Semi equipment														
ASML Holdings	ASML NA	EUR	Buy	2,149.00	1,541.80	693	38.4	26.8	63%	43%	21.8	17.2	66%	71%
LAM research	LRCX US	USD	Hold	325.00	327.92	410	31.4	24.5	80%	28%	20.9	14.4	82%	70%
Applied materials	AMAT US	USD	Buy	641.00	514.33	408	40.1	26.1	36%	54%	14.8	11.2	42%	49%
ASM International	ASM NA	EUR	Buy	1,116.00	842.40	48	36.4	26.8	59%	36%	8.3	7.0	25%	28%
BE Semiconductor	BESI NA	EUR	Hold	240.00	222.30	21	46.4	32.0	189%	45%	21.2	17.6	61%	59%
Average							38.5	27.2	85%	41%	17.4	13.5	55%	55%
Fabless														
NVIDIA	NVDA US	USD	Buy	325.00	219.74	5,318	25.2	16.8	82%	50%	15.7	8.7	86%	67%
Broadcom	AVGO US	USD	Buy	600.00	380.00	1,808	31.3	17.7	78%	77%	14.0	7.9	57%	59%
AMD	AMD US	USD	Hold	500.00	484.39	791	65.4	35.2	77%	86%	11.2	9.0	18%	29%
Qualcomm	QCOM US	USD	Hold	165.00	160.19	168	15.2	15.9	-13%	-4%	8.3	12.0	54%	63%
Mediatek	2454 TT	TWD	Hold	4,200.00	3,845.00	193	53.8	27.4	8%	96%	11.7	8.2	25%	36%
Marvell	MRVL US	USD	Buy	300.00	216.00	189	76.2	52.9	80%	44%	13.1	11.4	18%	24%
Average							44.5	27.6	52%	58%	12.3	9.5	43%	46%
Tech platforms														
Meta	META US	USD	Buy	830.00	543.67	1,385	17.2	15.5	34%	11%	4.5	3.4	31%	26%
Alphabet	GOOGL US	USD	Buy	420.00	344.20	4,122	16.7	23.0	91%	-27%	5.3	4.2	42%	21%
Microsoft	MSFT US	USD	Buy	595.00	481.63	3,576	27.9	23.5	24%	19%	8.1	6.4	33%	30%
Apple	AAPL US	USD	Buy	366.00	310.03	4,525	34.9	30.2	19%	16%	39.7	28.5	139%	109%
Average							24.2	23.0	42%	5%	14.4	10.6	61%	47%

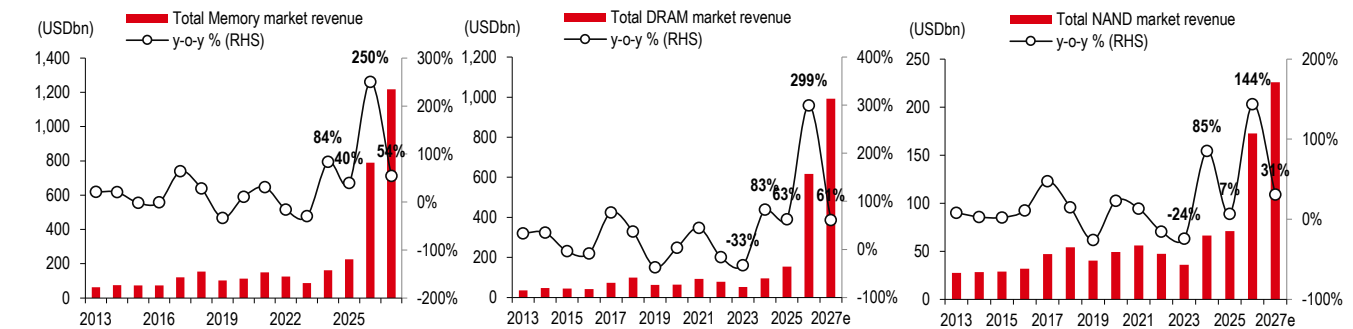
Source: Bloomberg consensus, HSBC estimates for covered names, Priced as of 19 August 2026 for Asian equities, otherwise priced as of 18 August 2026.

Exhibit 45. Historical trend and estimates of memory market revenue

(USDbn)	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e
DRAM market	35	47	45	41	73	99	62	64	93	78	52	95	154	616	992
y-o-y %	33%	35%	-4%	-8%	77%	37%	-37%	3%	45%	-16%	-33%	83%	63%	299%	61%
NAND market	27	28	29	32	47	54	40	49	56	47	36	66	71	173	226
y-o-y %	8%	3%	2%	11%	47%	15%	-26%	23%	13%	-16%	-24%	85%	7%	144%	31%
Memory market	62	75	74	73	120	154	103	114	149	125	88	161	225	789	1,218
y-o-y %	21%	21%	-2%	-1%	64%	28%	-33%	11%	31%	-16%	-30%	84%	40%	250%	54%

Source: WSTS, HSBC estimates

Exhibit 46. Historical trend and estimates of memory market revenue



Source: WSTS, HSBC estimates

Valuation and risks

SK Hynix 000660 KP	Current price: KRW1,500,000
	Target price: KRW3,700,000
Buy	Up/downside: +146.7%

Valuation

Maintain Buy with a new TP of KRW3.7m (unchanged):

We calculate our TP of KRW3.7m, as we maintain our target PB multiple of 3.4x which has a 20% premium to the historical high of 2.8x during 2009-11, and apply this to our 2027/28e BVPS of KRW1,113,099 to derive our TP. Our TP implies an upside of 147% and we maintain our Buy rating.

We calculate a fair value target price of USD240 for the ADR listed on the NASDAQ (SKHY US, USD155.62) based on our local share price target price using a USD/KRW exchange rate on our local share target price using a USD/KRW exchange rate of 1,543 and a ADR to Korea listed share conversion ratio of 10 to 1.

We calculate a fair value target price of EUR2,181 for the GDR listed on the Frankfurt stock exchange (HY9H GR, EUR974) based on our local share target price using a EUR/KRW exchange rate of 1,697 and a GDR to Korea listed share conversion ratio of 1-to-1.

We calculate a fair value target price of USD2,399 for the GDR listed on the Luxembourg stock exchange (HYXS LX, USD1,130) based on our local share target price using a USD/KRW exchange rate of 1,543 and a GDR to Korea listed share conversion ratio of 1-to-1.

Risks to our view

Downside risks: 1) Higher US interest rates as neo-CSPs and Open AI implement investment through financing; 2) more aggressive capacity expansion at memory makers; 3) KRW appreciation, leading to weaker earnings and margin pressure.

Priced at 19 August 2026
Source: HSBC estimates

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Ricky Seo and Han Kil Chang

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HSBC assigns ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

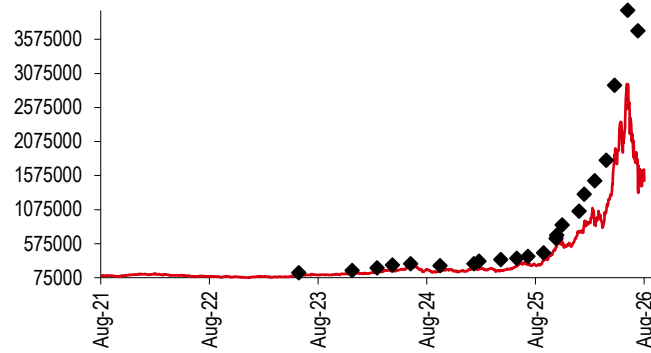
Rating distribution for long-term investment opportunities

As of 30 June 2026, the distribution of all independent ratings published by HSBC is as follows:

Buy	61%	(13% of these provided with Investment Banking Services in the past 12 months)
Hold	34%	(10% of these provided with Investment Banking Services in the past 12 months)
Sell	5%	(8% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at <http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures>.

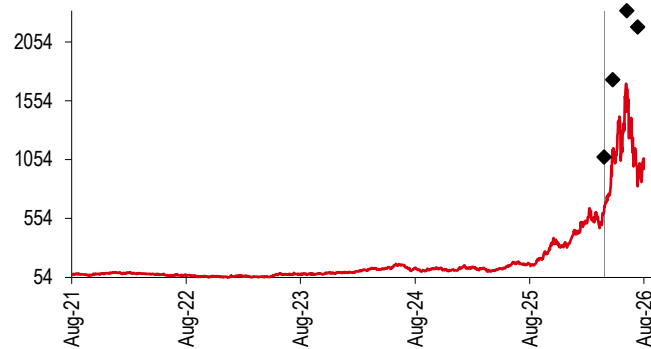
Share price and rating changes for long-term investment opportunities
**SK Hynix (000660.KS) share price performance KRW Vs
HSBC rating history**


Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Buy	26 Nov 2020	Ricky Seo
Target price	Value	Date	Analyst
Price 1	150000	15 Jun 2023	Ricky Seo
Price 2	180000	11 Dec 2023	Ricky Seo
Price 3	220000	04 Mar 2024	Ricky Seo
Price 4	260000	25 Apr 2024	Ricky Seo
Price 5	280000	25 Jun 2024	Ricky Seo
Price 6	250000	02 Oct 2024	Ricky Seo
Price 7	280000	23 Jan 2025	Ricky Seo
Price 8	320000	10 Feb 2025	Ricky Seo
Price 9	340000	24 Apr 2025	Ricky Seo
Price 10	360000	16 Jun 2025	Ricky Seo
Price 11	390000	24 Jul 2025	Ricky Seo
Price 12	440000	15 Sep 2025	Ricky Seo
Price 13	650000	26 Oct 2025	Ricky Seo
Price 14	700000	29 Oct 2025	Ricky Seo
Price 15	850000	16 Nov 2025	Ricky Seo
Price 16	1050000	12 Jan 2026	Ricky Seo
Price 17	1300000	29 Jan 2026	Ricky Seo
Price 18	1500000	05 Mar 2026	Ricky Seo
Price 19	1800000	13 Apr 2026	Ricky Seo
Price 20	2900000	11 May 2026	Ricky Seo
Price 21	4000000	24 Jun 2026	Ricky Seo
Price 22	3700000	29 Jul 2026	Ricky Seo

Source: HSBC

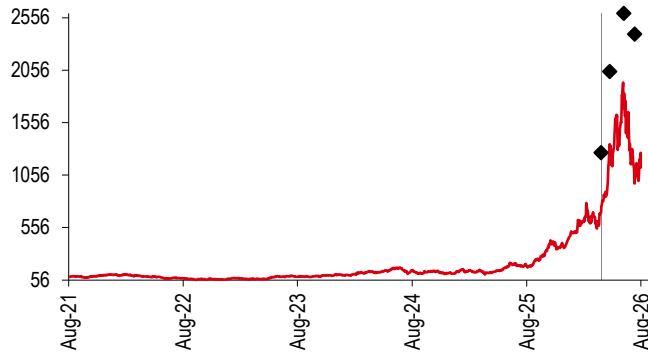
**SK Hynix (HY9Hy.F) share price performance EUR Vs
HSBC rating history**


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	13 Apr 2026	Ricky Seo
Target price	Value	Date	Analyst
Price 1	1074	13 Apr 2026	Ricky Seo
Price 2	1731	11 May 2026	Ricky Seo
Price 3	2319	24 Jun 2026	Ricky Seo
Price 4	2181	29 Jul 2026	Ricky Seo

Source: HSBC

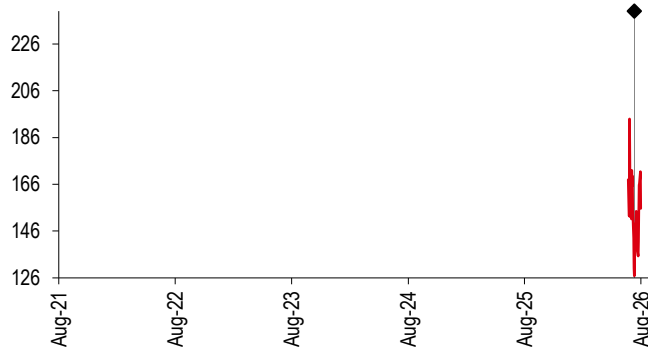
SK Hynix (HYNIX.LU) share price performance USD Vs HSBC rating history


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	13 Apr 2026	Ricky Seo
Target price	Value	Date	Analyst
Price 1	1268	13 Apr 2026	Ricky Seo
Price 2	2042	11 May 2026	Ricky Seo
Price 3	2597	24 Jun 2026	Ricky Seo
Price 4	2399	29 Jul 2026	Ricky Seo

Source: HSBC

SK Hynix (SKHY.OQ) share price performance USD Vs HSBC rating history


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	29 Jul 2026	Ricky Seo
Target price	Value	Date	Analyst
Price 1	240.00	29 Jul 2026	Ricky Seo

Source: HSBC

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HSBC & Analyst disclosures
Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
SK HYNIX	000660.KS	1500000.00	19 Aug 2026	1, 5, 7

Source: HSBC

- 1 HSBC has managed or co-managed a public offering of securities for this company within the past 12 months.
- 2 HSBC expects to receive or intends to seek compensation for investment banking services from this company in the next 3 months.
- 3 At the time of publication of this report, HSBC Securities (USA) Inc. is a Market Maker in securities issued by this company.
- 4 As of 31 July 2026, HSBC beneficially owned 1% or more of a class of common equity securities of this company.
- 5 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of investment banking services.
- 6 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-investment banking securities-related services.

- 7 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-securities services.
- 8 A covering analyst/s has received compensation from this company in the past 12 months.
- 9 A covering analyst/s or a member of his/her household has a financial interest in the securities of this company, as detailed below.
- 10 A covering analyst/s or a member of his/her household is an officer, director or supervisory board member of this company, as detailed below.
- 11 At the time of publication of this report, HSBC is a non-US Market Maker in securities issued by this company and/or in securities in respect of this company.
- 12 As of 14 August 2026, HSBC beneficially held a net long position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.
- 13 As of 14 August 2026, HSBC beneficially held a net short position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.
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